



THE FUTURIST'S STRATEGY CONE™

An Agentic AI Framework for Internal Audit

4 Stages: Risk → Audit → Validation → Reporting

✓ LIVE IN EXCEL - 3 MONTHS



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💬 DM “CONE” for Framework

THE FUTURIST'S STRATEGY CONE™ v2.0

**A Human-Controlled
Governance Framework
for Agentic AI in Internal
Audit**

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Executive Position

Artificial Intelligence is transforming the Internal Audit profession by enhancing risk identification, audit efficiency, continuous monitoring, evidence management, and reporting capabilities.

The emergence of **Agentic AI** introduces new opportunities for Internal Audit; however, adoption must remain controlled, transparent, accountable, and aligned with governance principles.

THE FUTURIST'S STRATEGY CONE™ provides a human-controlled Agentic AI governance framework designed to enable responsible AI adoption while preserving professional judgment, accountability, audit independence, and governance integrity.

The framework establishes one fundamental principle:

**AI Enhances
Capability. Humans
Maintain
Accountability.**

THE 4-LAYER CONTROL MODEL

LAYER	WHO DECIDES?	ROLE OF AI
1. RISK	Human: Head of Internal Audit	Agentic AI assists in identifying, analyzing, prioritizing, and mapping key risk areas
2. AUDIT	Human: Internal Audit Manager	Agentic AI supports audit testing, data analysis, pattern recognition, continuous monitoring, and anomaly identification

3. EVIDENCE

Human: Internal Audit Team

Agentic AI assists in collecting, organizing, validating, and summarizing supporting audit evidence

4. REPORT

Human: Head of Internal Audit

Agentic AI assists in drafting reports, generating insights, and preparing visualization dashboards

CORE GOVERNANCE PRINCIPLE

AI Works. Human Decides in Every Layer.

Agentic AI may support audit activities; however, it shall not independently:

- Approve audit conclusions
- Issue audit opinions
- Determine final risk ratings
- Replace professional skepticism and judgment
- Make governance decisions on behalf of authorized professionals

Final responsibility and accountability remain with qualified human professionals.

FRAMEWORK FORMULA

**RISK → AUDIT →
EVIDENCE →
REPORT**

A structured governance approach where Agentic AI enhances audit capability while humans maintain oversight, accountability, and decision authority.

AGENTIC AI CONTROL REQUIREMENTS

Organizations implementing Agentic AI within Internal Audit should establish appropriate governance controls, including:

1. Defined Objectives and Boundaries

AI agents should operate within clearly defined purposes, permitted activities, and approved business objectives.

2. Access Control and Authorization Limits

AI systems should operate with controlled access rights based on organizational security requirements and approved governance structures.

3. Human Approval Checkpoints

Critical outputs, recommendations, audit conclusions, and governance-related decisions should require appropriate human review and approval.

4. Activity Logging and Traceability

Organizations should maintain appropriate records of AI activities, inputs, outputs, and decision pathways to support transparency and accountability.

5. Continuous Validation and Monitoring

AI performance, accuracy, risks, and outcomes should be periodically reviewed and validated.

6. Escalation Mechanisms

AI systems should have defined escalation processes for uncertain, conflicting, or high-risk outcomes.

WHY THIS FRAMEWORK WORKS

1. CONTROL

Human oversight and accountability are embedded throughout every layer, ensuring responsible and controlled Agentic AI adoption.

2. SIMPLICITY

A clear four-stage model that can be understood by Boards, Audit Committees, executives, audit professionals, compliance teams, and technology stakeholders.

3. SCALABILITY

Designed as a flexible framework applicable across audit functions, industries, organizational sizes, and regulatory environments.

4. GOVERNANCE ALIGNMENT

Supports responsible Agentic AI adoption through transparency, accountability, human oversight, risk management, and controlled decision-making.

RESPONSIBLE AGENTIC AI IMPLEMENTATION PRINCIPLES

1. Human Oversight

All Agentic AI-generated outputs should be reviewed, validated, and approved by responsible professionals before being relied upon for audit conclusions or governance decisions.

The level of human review should be proportionate to the risk, complexity, and potential impact of the AI-supported activity.

Human oversight should include appropriate review of AI-generated assumptions, limitations, data sources, and potential biases before relying on AI-supported outputs.

2. Data Protection & Confidentiality

Organizations should ensure that confidential, personal, customer, regulatory, and proprietary information processed through AI systems is handled in accordance with applicable data protection requirements, information security controls, cybersecurity obligations, and approved technology governance frameworks.

Organizations operating in regulated sectors should also consider applicable requirements issued by relevant regulatory authorities relating to information security, confidentiality, outsourcing, technology governance, and customer data protection.

3. Professional Judgment

Agentic AI should enhance auditor capability but should not replace independent judgment, professional skepticism, ethical responsibility, or accountability.

4. Regulatory Compliance

Organizations implementing AI-enabled Internal Audit solutions should consider applicable laws, regulations, regulatory expectations, professional standards, and internal governance requirements.

Organizations should maintain appropriate governance documentation demonstrating the rationale, controls, oversight, and accountability arrangements for AI-enabled Internal Audit activities.

CONCLUSION

The objective is not to replace auditors with Artificial Intelligence.

The objective is to empower auditors with Artificial Intelligence.

THE FUTURIST'S STRATEGY CONE™ provides Internal Audit functions with a structured, controlled, and governance-focused approach for adopting Agentic AI while maintaining human accountability and professional integrity.

The future of Internal Audit is not:

Human vs AI

The future is:

**Human Intelligence
Enhanced by
Responsible
Agentic Artificial
Intelligence**

DISCLAIMER

This framework is a guidance tool and best practice model intended to support responsible Agentic AI adoption within Internal Audit functions.

It does not replace applicable laws, regulations, regulatory requirements, professional standards, organizational policies, or independent professional judgment.

This framework does not constitute legal advice, regulatory approval, professional certification, or a substitute for consultation with qualified legal, compliance, risk, technology, or governance professionals.

Final responsibility and accountability for all audit decisions, risk assessments, audit opinions, professional judgments, and reporting outcomes remain with authorized human professionals, including the Head of Internal Audit and relevant governance bodies.

AI-generated outputs should be subject to appropriate human review, validation, and approval before being relied upon for audit conclusions or organizational decision-making.

Users remain responsible for ensuring compliance with applicable local and international laws, regulatory expectations, data protection requirements, cybersecurity obligations, and internal governance frameworks when designing or implementing AI-enabled audit solutions.

Organizations should evaluate AI implementation based on their specific risk profile, regulatory environment, technology infrastructure, and governance structure.

Framework Ownership

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THE FUTURIST'S STRATEGY CONE™

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*An original conceptual framework for
Human-Controlled Responsible Agentic AI
Governance in Internal Audit.*

THE FUTURIST'S STRATEGY CONE™

Reimagining Internal Audit for the Age of Agentic AI



By **Adnan Shamim**